

Early Retirement” from the *Mr. Money Mustache* (MMM) blog as being life altering. That single blog post serves as a wake-up call to many on the standard path, showing them there is a different way.

MMM examines the impact of your savings rate—the amount saved divided by the amount earned. In equation form, it looks like this:

$$\text{Savings Rate} = \text{Savings/Earnings}$$

It would seem that spending a dollar less or making a dollar more would have the same effect, right? Every extra dollar you don’t spend or every extra dollar you earn could be applied to your savings. But, mathematically, spending less has a double effect that speeds the time to FI. Every dollar you don’t spend is a dollar you can save. Simultaneously building a more efficient, lower-cost lifestyle means you need to accumulate far less to support that lifestyle with investment income, shortening the time to FI.

Once people see this simple math, they can visualize a FI lifestyle contrasted against the lifestyle they’re currently living. Most people live on a never-ending treadmill of work → earn → pay taxes → spend → repeat. They save very little, locking themselves into their current lives while leaving no option to break this cycle.